Morgan Stanley | RESEARCH

UPDATE

November 11, 2026 03:45 PM GMT

Quanta Computer Inc. | Asia Pacific

3Q26 OpM miss; stay OW

AlphaSignals Earnings Reaction

Unchanged	Modest shortfall	Modest revision lower
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Management said AI demand has remained unchanged in recent weeks. It reiterates confidence in strong double-digit y/y growth into 2027. General server demand continues to exceed expectations YTD, driven by agentic AI.

Platform transition weighs on 4Q shipments; VR200 to support CY27 growth: AI servers contributed 75–80% of 3Q26 server revenue, with CY26 AI revenue on track for triple-digit y/y growth and ~65% of Quanta's total revenue. The platform transition is expected to drive a q/q decline in 4Q26 NVL72 rack shipments, but management's tone suggests a milder decline than our prior forecast of 4K racks (vs. ~6.2K in 3Q26). We therefore raise our 4Q26 NVL72 production forecast 1K, to 5K, implying 21.9K builds in CY26. Management expects shipments to accelerate in 1Q27 as VR200 ramps, supporting high double-digit AI server revenue growth in CY27. ASIC servers' revenue contribution is projected to double, from high single digits in CY26 to double digits in CY27.

Agentic AI supports general server growth: Management noted that YTD general server shipments have exceeded expectations, with both shipments and revenue increasing q/q in 3Q26 and further growth expected in 4Q26, primarily driven by agentic AI. Management expects steady double-digit y/y growth in both shipments and revenue in CY27, with deployments broadly balanced between x86 and Arm-based platforms and comparable margin profiles. While industry-wide component shortages persist, particularly in memory, CPUs and PCBs, management indicated that tier-1 CSPs continue to secure sufficient supply.

Lower NB volumes and rising costs pressure margins: Quanta's NB shipments fell 17% q/q, to 9.6M units in 3Q26, weaker than normal seasonality but above guidance of a 20% decline. Rising memory costs and lower scale weighed on profitability, and we expect margin pressure to persist in 4Q26. Management guides for another double-digit q/q shipment decline in 4Q26, albeit narrower than in 3Q26, implying a 15–20% y/y decline for CY26. We project 4Q26 shipments of 8.3M units (-14% q/q) and CY26 shipments of 39.4M units (-15% y/y). For CY27, management expects NB shipments to decline in high single digits to 10% y/y and PC/NB revenue to fall to a single-digit share of the mix, reflecting AI server racks' substantially higher ASPs.

Keep price target at NT$385 and stay OW: Our target implies 11.8x CY27e P/E or 11.0x CY28e P/E, vs. its three-year range of 6-18x. Risk-reward looks attractive at 9.1x CY27e P/E, below the three-year average of 11.7x, with ~5.1% dividend yield (DPS of NT$15.6).

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Quanta Computer Inc. (2382.TW, 2382 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$385.00
Up/downside to price target (%)	29
Shr price, close (Nov 11, 2026)	NT$298.00
52-Week Range	NT$438.00-260.00
Sh out, dil, curr (mn)	3,862
Mkt cap, curr (mn)	US$34,944
EV, curr (mn)	US$36,912
Avg daily trading value (mn)	NT$6,853

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	19.42	26.43	32.68	34.94
Prior EPS (NT$)**	-	24.66	28.80	30.80
EPS (NT$)§	18.43	26.86	32.17	38.52
Revenue, net (NT$ bn)	2,123.7	4,009.2	6,092.9	7,004.7
EBITDA (NT$ bn)	99.8	133.3	176.8	191.0
ModelWare net inc (NT $ bn)	75.0	102.1	126.2	134.9
P/E	14.0	11.3	9.1	8.5
P/BV	4.1	3.6	2.9	2.3
RNOA (%)	27.9	31.0	24.1	17.7
ROE (%)	32.6	39.9	39.6	33.4
EV/EBITDA	11.2	10.4	8.9	8.3
Div yld (%)	3.7	3.6	3.9	4.1
FCF yld ratio (%)**	(2.4)	(11.9)	(11.9)	2.0
Leverage (EOP) (%)	31.3	80.1	107.5	92.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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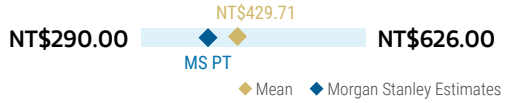
Risk Reward – Quanta Computer Inc. (2382.TW)

AI server growth story intact; OW

PRICE TARGET NT$385.00

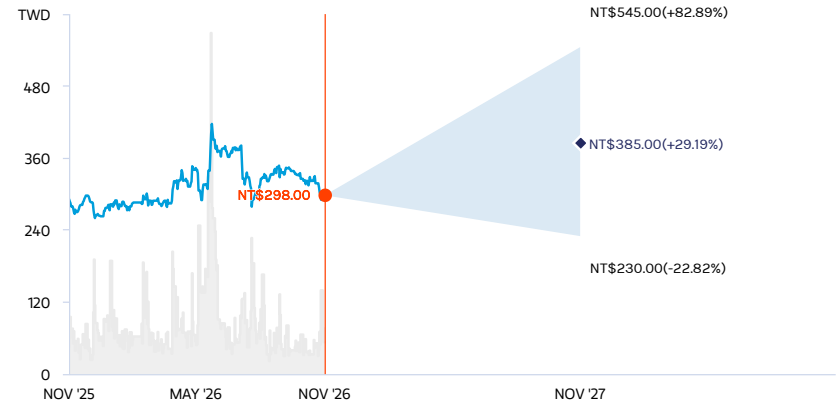
Base case, residual income model. Key assumptions include a cost of equity of 9.0% (beta of 1.2, equity premium of 6.0% and risk-free rate of 1.5%), a 7.0% medium-term growth rate, and a 3% terminal growth rate.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



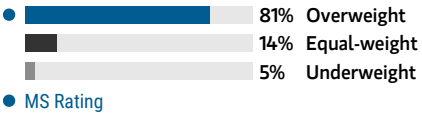
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Quanta should benefit from rising AI server demand (GPUs and ASICs), given its design capability and close relationship with global cloud customers.
- Quanta had some production and delivery hiccups on GB racks in CY25, but these appear to have been resolved in CY26. We expect Quanta's supply share to remain at ~26% in CY27 for GB and VR racks combined.
- Quanta is transitioning more resources from auto/EV to more profitable products and narrowing the breadth of its portfolio.
- Our price target implies 11.8x CY27e EPS, which we view as fair vs. its three-year range of 6-18x. Valuation looks attractive at 9.1x CY27e P/E, with ~5% dividend yield.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$545.00

16.7x 2027e P/E

Strong sales growth with margin expansion: We forecast a total sales CAGR of 60-65% for 2025-28, boosted by even stronger data center sales growth and NB demand. We project operating profit margin to reach ~6% by 2028, up from ~4.1% in 2025.

BASE CASE NT$385.00

11.8x 2027e P/E

Strong growth in 2027 driven by AI server sales: We forecast a total sales CAGR of ~49% for 2025-28, with data centers showing 60-70% growth after incorporating AI server assumptions (70-80% CAGR), and NB staying flat. We project that operating profit margin will fall to ~2.5% by 2028 (AI servers are margin-dilutive) vs. ~4.1% in 2025.

BEAR CASE NT$230.00

7x 2027e P/E

Sales decline with margin contraction: We project total sales at a negative CAGR over 2025-28, owing to worse-than-expected NB weakness plus softer data center and Apple Watch-related sales. We see operating profit margin falling to ~1.8% by 2028, from ~4.1% in 2025.

Risk Reward – Quanta Computer Inc. (2382.TW)

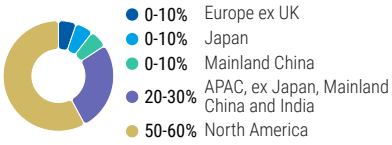
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
NB shipment y/y (%)	1.3	(15.3)	(9.1)	1.2
Data center hardware revenue y/y (%)	24.7	54.4	24.4	9.2
NB OPM (%)	3.4	2.5	2.0	2.4
Data center hardware OPM (%)	9.4	8.1	7.3	7.3

INVESTMENT DRIVERS

- Data center hardware demand growth
- Margin performance
- Apple Watch business profitability
- Non-Apple NB shipment strength
- MacBook demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected NB demand
- Stronger-than-expected Apple Watch demand
- Stronger-than-expected server demand
- Faster-than-expected AI server penetration

RISKS TO DOWNSIDE

- Weaker-than-expected NB demand
- Softer-than-expected Apple Watch demand
- Weak margin performance owing to rising labor costs and sales shortfalls
- Fierce price competition in the mega data center segment
- Slower-than-expected AI server penetration

OWNERSHIP POSITIONING

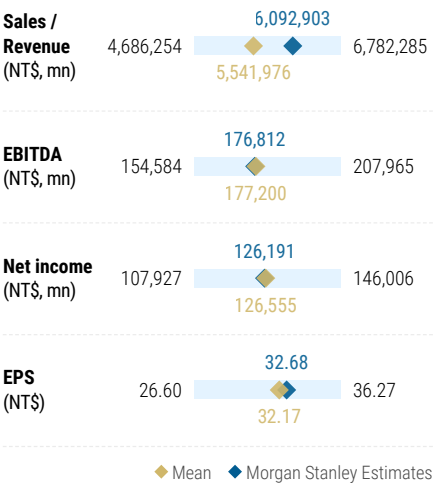
Inst. Owners, % Active 75.9%



Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

3Q26 Results Summary

Component cost pressure drove 3Q GM miss:

Revenue was NT$1,115.5bn (+8% q/q, +125% y/y), but GM deteriorated to 4.8% (-30bps q/q, -210bps y/y), which is 40bps below our estimate and 20bps below the Street.

Management cited the following reasons for the GM miss:

- PC/NB: cost pressures from inflationary component pricing; diminishing economies of scale.
- Servers: inflationary component pricing pressured server gross margins, despite a slight decline in AI server shipments.

However, opex was also higher than expected, mainly owing to higher R&D expenses. Thus, OP came in at NT$32.2bn (-6% q/q, +75% y/y), 7% below our estimate and 112% below the Street.

OpM was 2.9% (-40bps q/q, -80bps y/y). Management guided for 2H OpM to be flat h/h, so we think 3Q OpM was a miss.

Non-op income was higher than expected because of ~NT$3.9bn in FX gains, so net profit came in at ~NT$28.4bn (-1% q/q, +73% y/y) for EPS of NT$7.36, 6% above our estimate and 2% above the Street.

Consignment? Under the buy-and-sell model, high-ASP server rack procurement inflated revenue but diluted gross margins and to a lesser extent operating margins (owing to operating leverage) via pass-through component accounting. Management continues to stress absolute profit expansion and sustained >20% ROIC over margin ratios. To mitigate balance sheet inventory carrying risk and working capital burden, Quanta will continue to negotiate for a consignment business model with its CSP customers into CY27.

Exhibit 1: Quanta's 3Q26P Results Summary

NT$mn	Actual 3Q26	Q/Q	Y/Y	MS Forecast 3Q26E	% Diff.	Cons. 3Q26E	% Diff.
P&L Summary							
Net sales	**1,115,545**	**8%**	**125%**	**972,820**	**15%**	**1,116,408**	**0%**
COGS	(1,062,520)			(922,457)		(548,670)	
Gross profit	**53,024**	**2%**	**56%**	**50,362**	**5%**	**55,610**	**-5%**
Operating expenses	(20,821)			(15,776)		(16,690)	
Operating income	**32,204**	**-6%**	**75%**	**34,586**	**-7%**	**36,133**	**-11%**
Non-operating income	2,681			(725)		630	
Pretax income	**34,885**	**-5%**	**67%**	**33,861**	**3%**	**35,573**	**-2%**
Income tax	(6,251)			(6,772)		-	
Minority interest	(212)			(208)		-	
Net income	**28,422**	**-1%**	**73%**	**26,880**	**6%**	**27,834**	**2%**
EPS (NT$)	**7.36**			**6.96**		**7.21**	
Margins		**ppt**	**ppt**		**ppt**		**ppt**
Gross margin	4.8%	-0.3	-2.1	5.2%	-0.4	5.0%	-0.2
Operating margin	2.9%	-0.4	-0.8	3.6%	-0.7	3.2%	-0.3
Pretax margin	3.1%	-0.4	-1.1	3.5%	-0.4	3.2%	-0.1
Net margin	2.5%	-0.2	-0.8	2.8%	-0.2	2.5%	0.1

Note: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

Estimate Changes

We update our model to factor in the 3Q26 margin miss and updated guidance from management, which leads to increases of 7%, 13%, and 13% changes to our EPS estimates for 2026, 2027, and 2028, respectively. We primarily raise our revenue assumptions while lowering our margin assumptions for 2026-2028.

Exhibit 2: Estimate changes

Year to Dec. 31	2026E		%	2027E		%	2028E		%
(NT$m)	New	Old	diff	New	Old	diff	New	Old	diff
P&L Summary									
Net sales	**4,009,201**	**3,582,583**	**12%**	**6,092,903**	**3,937,248**	**55%**	**7,004,713**	**4,276,884**	**64%**
COGS	(3,814,855)	(3,396,775)		(5,847,917)	(3,728,182)		(6,740,213)	(4,057,087)	
Gross profit	**194,346**	**185,808**	**5%**	**244,986**	**209,066**	**17%**	**264,499**	**219,796**	**20%**
Operating expenses	(74,510)	(64,172)		(82,633)	(65,195)		(88,973)	(66,224)	
Operating income	**119,836**	**121,636**	**-1%**	**162,353**	**143,871**	**13%**	**175,527**	**153,572**	**14%**
Non-operating income	5,767	(662)		(4,205)	(2,900)		(6,501)	(2,900)	
Pretax income	**125,603**	**120,973**	**4%**	**158,147**	**140,971**	**12%**	**169,026**	**150,672**	**12%**
Income tax	(22,883)	(24,922)		(31,265)	(28,906)		(33,377)	(30,854)	
Minority interest	(658)	(806)		(691)	(847)		(725)	(889)	
Net income	**102,062**	**95,246**	**7%**	**126,191**	**111,218**	**13%**	**134,924**	**118,929**	**13%**
EPS (NT$)	**26.43**	**24.66**	**7%**	**32.68**	**28.80**	**13%**	**34.94**	**30.80**	**13%**
Margins									
Gross margin	4.8%	5.2%		4.0%	5.3%		3.8%	5.1%	
Operating margin	3.0%	3.4%		2.7%	3.7%		2.5%	3.6%	
Pretax margin	3.1%	3.4%		2.6%	3.6%		2.4%	3.5%	
Net margin	2.5%	2.7%		2.1%	2.8%		1.9%	2.8%	

Source: Morgan Stanley Research (E) estimates.

Price Target and Valuation Methodology

We keep our price target at NT$385, reflecting the offset between raised 2026-28 earnings estimates and a lower medium-term growth rate: This implies 11.8x CY27e and 11.0x CY28e EPS, in line with the average of Quanta's three-year historical range of 11.7x. We view this as reasonable because we expect the company to benefit from rising AI server and EV demand over the long term, which will offset the weakness in the PC segment and drive mix improvements.

We continue to apply a residual income model to derive our price target. Our key assumptions include:

- A cost of equity of 9.0% (beta of 1.2, equity premium of 6.0%, and risk-free rate of 1.5%)
- A 7.0% medium-term growth rate – lowered from 8.5% previously, as we bake in some conservatism on concerns over a potential slowdown in data center build-out following the US midterm elections (see our Global Team's view), which could affect Quanta's server business directly.
- A 3% terminal growth rate

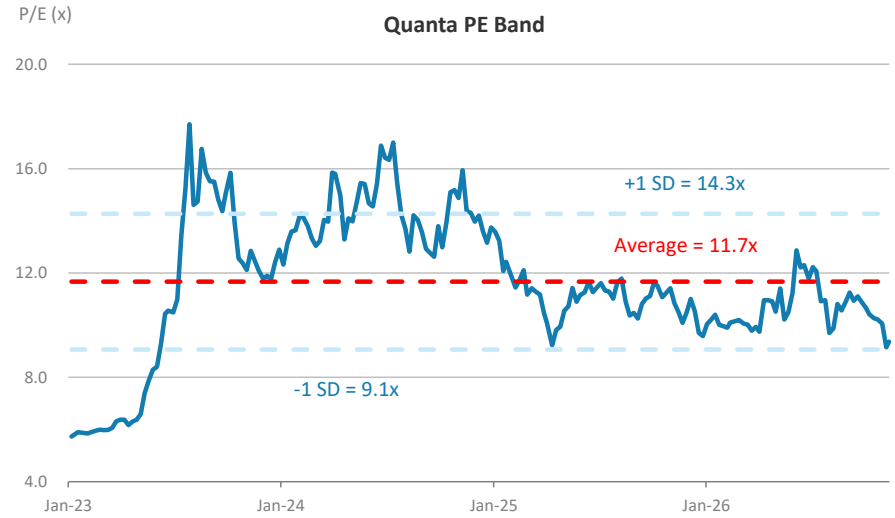
Our bull and bear case scenario values also stay unchanged at $545 and NT$230, respectively.

Exhibit 3: Residual income (RI) model

NT$ mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	**318,915**	**403,500**	**493,905**	**590,005**	**692,831**	**802,855**	**920,582**	**1,046,548**	**1,181,333**	**1,325,553**	**1,479,868**
Net Profit - post bonus	**102,062**	**126,191**	**134,924**	**144,369**	**154,474**	**165,288**	**176,858**	**189,238**	**202,484**	**216,658**	**231,824**
Return on Equity	36%	35%	30%	27%	24%	22%	21%	19%	18%	17%	17%
Beta	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Equity Risk Premium (Rm-Rf)	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Risk Free Rate (Rf)	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Cost of Equity	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%
Beginning Equity Capital	318,915										
PV of Forecast Period	527,817										
PV of Continuing Value	640,216										
Equity Value	1,486,948										
No. of Shares	3,862										
Projected Price (EoY)	**385.0**										
Implied 2027 P/E	**11.8x**										
Implied 2028 P/E	**11.0x**										

Source: Morgan Stanley Research (E) estimates.

Exhibit 4: Quanta's three-year P/E



Source: Morgan Stanley Research estimates.

Financials

Exhibit 5: Quarterly Estimates

Quanta: Consolidated Quarterly Earnings Summary

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	2025	2026E	2027E	2028E
Net sales	**485,672**	**504,122**	**495,258**	**638,637**	**809,221**	**1,036,593**	**1,115,545**	**1,047,843**	**2,123,689**	**4,009,201**	**6,092,903**	**7,004,713**
COGS	(447,189)	(468,588)	(461,340)	(598,239)	(770,524)	(984,514)	(1,062,520)	(997,297)	(1,975,357)	(3,814,855)	(5,847,917)	(6,740,213)
Gross profit	**38,483**	**35,533**	**33,918**	**40,398**	**38,697**	**52,079**	**53,024**	**50,546**	**148,332**	**194,346**	**244,986**	**264,499**
Operating expenses	(13,882)	(15,130)	(15,544)	(16,380)	(15,673)	(17,835)	(20,821)	(20,182)	(60,936)	(74,510)	(82,633)	(88,973)
SG&A, R&D exp.	(13,882)	(15,130)	(15,544)	(16,380)	(15,673)	(17,835)	(20,821)	(20,182)	(60,936)	(74,510)	(82,633)	(88,973)
Employee bonus	-	-	-	-	-	-	-	-	0	0	0	0
Operating income	**24,600**	**20,403**	**18,374**	**24,019**	**23,024**	**34,244**	**32,204**	**30,364**	**87,396**	**119,836**	**162,353**	**175,527**
Non-operating income	**669**	**1,214**	**2,535**	**3,459**	**1,513**	**2,317**	**2,681**	**(744)**	**7,877**	**5,767**	**(4,205)**	**(6,501)**
Interest income	(1,001)	(213)	(674)	(31)	(2,075)	(1,693)	(2,294)	(2,294)	(1,920)	(8,356)	(10,405)	(12,701)
Investment income	(14)	(5)	(5)	(3)	(6)	(4)	-	-	(27)	(10)	0	0
Disposal of investment	-	-	-	-	-	-	-	-	0	0	0	0
Exchange gain	2,075	668	2,271	3,545	3,249	3,273	3,900	800	8,560	11,222	3,200	3,200
Other	(392)	764	943	(51)	344	741	1,075	750	1,264	2,911	3,000	3,000
Pre-tax income	**25,269**	**21,617**	**20,909**	**27,478**	**24,537**	**36,561**	**34,885**	**29,620**	**95,273**	**125,603**	**158,147**	**169,026**
Income tax	(5,572)	(4,541)	(4,279)	(5,094)	(3,231)	(7,774)	(6,251)	(5,628)	(19,487)	(22,883)	(31,265)	(33,377)
Minority interest	(199)	(215)	(198)	(187)	(114)	(136)	(212)	(196)	(799)	(658)	(691)	(725)
Net income	**19,498**	**16,861**	**16,431**	**22,197**	**21,192**	**28,651**	**28,422**	**23,796**	**74,988**	**102,062**	**126,191**	**134,924**
Adj.wtd.avg.shrs (mn)	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862
EPS (NT$)	**5.05**	**4.37**	**4.25**	**5.75**	**5.49**	**7.42**	**7.36**	**6.16**	**19.42**	**26.43**	**32.68**	**34.94**
Fully Diluted shares (mn)	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862
Diluted EPS (NT$)	**5.05**	**4.37**	**4.25**	**5.75**	**5.49**	**7.42**	**7.36**	**6.16**	**19.42**	**26.43**	**32.68**	**34.94**
Margins (%)												
Gross Margin	7.9	7.0	6.8	6.3	4.8	5.0	4.8	4.8	7.0	4.8	4.0	3.8
Operating Margin	5.1	4.0	3.7	3.8	2.8	3.3	2.9	2.9	4.1	3.0	2.7	2.5
Pretax Margin	5.2	4.3	4.2	4.3	3.0	3.5	3.1	2.8	4.5	3.1	2.6	2.4
Net Margin	4.0	3.3	3.3	3.5	2.6	2.8	2.5	2.3	3.5	2.5	2.1	1.9
QoQ Growth (%)												
Sales	16	4	(2)	29	27	28	8	(6)				
Gross Profit	24	(8)	(5)	19	(4)	35	2	(5)				
Operating Profit	62	(17)	(10)	31	(4)	49	(6)	(6)				
Pretax Profit	42	(14)	(3)	31	(11)	49	(5)	(15)				
Net Profit	23	(14)	(3)	35	(5)	35	(1)	(16)				
YoY Growth (%)												
Sales	88	63	17	53	67	106	125	64	51	89	52	15
Gross Profit	75	34	9	30	1	47	56	25	34	31	26	8
Operating Profit	110	34	(6)	58	(6)	68	75	26	42	37	35	8
Pretax Profit	74	10	(2)	55	(3)	69	67	8	30	32	26	7
Net Profit	62	11	(1)	40	9	70	73	7	26	36	24	7

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 6: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Net sales	**2,123,689**	**4,009,201**	**6,092,903**	**7,004,713**
COGS	(1,975,357)	(3,814,855)	(5,847,917)	(6,740,213)
Gross profit	**148,332**	**194,346**	**244,986**	**264,499**
Operating expenses	(60,936)	(74,510)	(82,633)	(88,973)
Operating income	**87,396**	**119,836**	**162,353**	**175,527**
Non-operating income	**7,877**	**5,767**	**(4,205)**	**(6,501)**
Interest income, net	(1,920)	(8,356)	(10,405)	(12,701)
Investment income	(27)	(10)	-	-
Exchange gain	8,560	11,222	3,200	3,200
Other	1,264	2,911	3,000	3,000
Pre-tax income	**95,273**	**125,603**	**158,147**	**169,026**
Income tax	(19,487)	(22,883)	(31,265)	(33,377)
Minority interests	(799)	(658)	(691)	(725)
Net income	74,988	102,062	126,191	134,924
Reported EPS (NT$)	**19.42**	**26.43**	**32.68**	**34.94**
Fully-diluted EPS (NT$)	**19.42**	**26.43**	**32.68**	**34.94**

Consolidated Cash Flow Statement

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Operating CF	**(10,365)**	**(126,434)**	**(126,736)**	**33,417**
Net Profits	75,786	102,062	126,191	134,924
Depreciation & Amort.	12,441	13,450	14,460	15,469
Change in WC	627,233	(418,703)	(462,711)	(202,449)
Other adjustments	(725,825)	176,756	195,325	85,473
Investing CF	**(8,338)**	**(9,990)**	**(10,000)**	**(10,000)**
Change of FA (Capex)	(14,327)	(10,000)	(10,000)	(10,000)
Change of L/T invest.	167	10	-	-
Other adjustments	5,823	-	-	-
Financing CF	**38,764**	**127,012**	**140,714**	**36,111**
Increase in L/T debt	2,062	-	-	-
Increase in S/T debt	84,166	160,169	176,576	74,886
Issuance of stock	-	-	-	-
Cash dividends	(50,214)	(38,884)	(41,606)	(44,519)
Other adjustments	2,749	5,727	5,744	5,744
FX adjust.	(5,744)	(5,744)	(5,744)	(5,744)
Net change in cash	**14,318**	**(15,156)**	**(1,766)**	**53,784**

Consolidated Balance Sheet

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Cash	178,310	163,153	161,388	215,172
Mkt securities	24,318	24,318	24,318	24,318
A/R	494,969	934,425	1,420,074	1,632,590
Inventory	512,946	990,613	1,518,543	1,750,248
Others	21,522	40,631	61,748	70,988
Current Assets	**1,232,064**	**2,153,140**	**3,186,070**	**3,693,316**
Long-term investments	15,194	15,185	15,185	15,185
Fixed assets	72,970	69,519	65,059	59,590
Other assets	22,883	22,883	22,883	22,883
Total Assets	**1,343,112**	**2,260,727**	**3,289,198**	**3,790,974**
S/T borrowings	258,327	418,497	595,073	669,959
AP/NP	535,232	1,033,653	1,584,520	1,826,292
Other ST liabilities	220,596	416,451	632,893	727,606
Total current liabilities	**1,014,155**	**1,868,600**	**2,812,486**	**3,223,857**
L/T debt	-	-	-	-
Other LT libilities	73,212	73,212	73,212	73,212
Total Liabilities	**1,087,367**	**1,941,812**	**2,885,698**	**3,297,069**
Common shares	38,626	38,619	38,619	38,619
Retained Earnings	142,378	205,556	290,141	380,546
Other SH equity	74,740	74,740	74,740	74,740
Shareholders' equity	**255,745**	**318,915**	**403,500**	**493,905**
Total Liab./SE	**1,343,112**	**2,260,727**	**3,289,198**	**3,790,974**

Consolidated Financial Ratios

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	7.0	4.8	4.0	3.8
Operating margin	4.1	3.0	2.7	2.5
Pretax margin	4.5	3.1	2.6	2.4
Net margin	3.5	2.5	2.1	1.9
YoY growth (%)				
Sales	51	89	52	15
Operating profits	42	37	35	8
Pretax profits	30	32	26	7
Net profits	26	36	24	7
Others				
Cash div payout	80%	80%	80%	80%
Adjusted cash div (NT$)	15.6	21.2	26.3	28.1
Yield	12%	12%	13%	14%
Net Debt/Equity	22%	72%	101%	87%
Liabilities/Equity	425%	609%	715%	668%
Liabilities/Assets	81%	86%	88%	87%
ROAE	31%	36%	35%	30%
ROAA	7%	6%	5%	4%
AR/NR days	74	65	71	80
Inventory days	72	72	78	89
AP/NP days	76	75	82	92
Cash conversion	70	62	67	76

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/11/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$38.80
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb103.93
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.44
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.04
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.36
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb215.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$995.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb25.14
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.19
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.25
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$54.90
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,325.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.02
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.87
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$6.00
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$51.75
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb51.67
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.74
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.30
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb86.57
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$39.88
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb62.63
Sunny Optical (2382.HK)	E (03/23/2026)	HK$65.90

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb144.06
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.47
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.10
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb277.56
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$101.80
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb112.93
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.35
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb542.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$675.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.34
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.60
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,575.00
Advantech (2395.TW)	O (01/20/2021)	NT$612.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,060.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,040.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$28.65
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,300.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,580.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.56
Chenbro (8210.TW)	E (11/09/2026)	NT$607.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,370.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,295.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$145.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,050.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$314.00
Innolux (3481.TW)	E (04/07/2025)	NT$40.60
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,730.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.11
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$239.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.57
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.64
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$30.40
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$902.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$190.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$31.15
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,500.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.86
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb45.56
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$305.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,050.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$242.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb56.56
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$30.56
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,215.00
Lenovo (0992.HK)	O (07/10/2026)	HK$19.57
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,820.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,080.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$96.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$298.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb76.88
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb229.02
Unimicron (3037.TW)	O (02/23/2026)	NT$864.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$384.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$174.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,680.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$424.50
Zhen Ding (4958.TW)	++	NT$461.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$388.50
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,060.00

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